

Flutter Entertainment

NYSE: FLUT | LSE: FLTR

Pre-Earnings Deep Dive | February 26, 2026

Current Price Snapshot

Metric	Value
Current Price	\$119.84
Day Change	+\$0.74 (+0.62%)
Day Range	\$116.29 - \$120.59
52-Week High	\$313.68
52-Week Low	\$114.93 (Feb 23)
Decline from ATH	-62%
Market Cap	~\$20.21B
P/E Ratio	-88.73
Beta	1.89

Earnings Release - Today

Flutter Entertainment will release Q4 and Full Year 2025 financial results after market close at 4:05 PM EST (9:05 PM GMT), followed by a management conference call at 4:30 PM EST.

Consensus Estimates

Metric	Estimate
EPS (Q4)	\$1.62 - \$2.11
Revenue (Q4)	~\$4.87 billion
Revenue Growth YoY	+31%
Full Year 2025 Revenue	~\$12.32 billion
Full Year 2025 EPS	~\$0.94
FY2025 Adj. EBITDA Guidance	\$3.295 billion (+40% YoY)

Technical Analysis - Deeply Oversold

Indicator	Value	Signal
RSI (14)	20.29	EXTREMELY OVERSOLD
MACD	-18.33	Bearish
MACD Signal	-17.68	---
MACD Histogram	-0.651	Negative
SMA 20	\$141.80	Price 15% below
SMA 50	\$181.17	Price 34% below
SMA 200	\$241.48	Price 50% below
Bollinger Upper	\$178.57	---
Bollinger Middle	\$141.80	---
Bollinger Lower	\$105.03	Near lower band
Overall	---	HOLD

RSI at 20.29 is at extreme oversold levels - well below the standard 30 threshold. The stock has been in deeply oversold territory for most of the past month, indicating sustained selling pressure with potential for a mean-reversion bounce.

MACD remains deeply negative at -18.33 with no bullish crossover in sight. The stock is trading far below all major moving averages (15% below SMA20, 34% below SMA50, 50% below SMA200), confirming a strong and sustained downtrend.

News Sentiment

Metric	Value	Interpretation
Average Polarity	0.05	Neutral
Average Subjectivity	0.21	Low / Factual

Sentiment is essentially flat. No strong bullish or bearish narrative is dominating current headlines. Key headlines include references to shares "plummeting," but also articles identifying Flutter as a potential buying opportunity.

Why the Stock Has Been Crushed

Flutter has fallen 62% from its all-time high due to three major structural headwinds:

1. UK Tax Hike

The UK government announced a massive increase in iGaming duty from 21% to 40%. Flutter estimates this creates a \$320 million EBITDA headwind in 2026. This is a structural hit to one of Flutter's largest and most profitable markets.

2. US Tax on Gambling Losses

The "One Big Beautiful Bill Act" (OBGBA), effective January 2026, limits gambling loss deductions to 90% of winnings. This creates a tax burden for high-volume and professional bettors even if they break even, significantly reducing the "handle" from this important customer segment.

3. Sector-Wide Contagion

DraftKings issued disappointing 2026 guidance citing tax headwinds and slowing customer acquisition. This triggered a sell-off across the entire online sports betting sector, dragging Flutter down in sympathy despite its stronger fundamentals. FanDuel holds 47% US market share vs. DraftKings' smaller position.

Historical Earnings Reaction Pattern

WARNING: Flutter has a pattern of selling off after earnings, even when beating expectations.

Quarter	EPS Est.	EPS Actual	Beat/Miss	Stock Move
Q4 2024	\$1.83	\$2.94	+61% beat	+1%
Q1 2025	\$1.89	\$1.59	-16% miss	0%
Q2 2025	\$2.19	\$2.95	+35% beat	-8%
Q3 2025	\$0.39	\$1.64	+321% beat	-14%

In 3 of the last 4 quarters, even massive earnings beats resulted in flat or negative stock price reactions. The market is pricing in forward guidance concerns (tax impacts, growth sustainability) rather than rewarding backward-looking performance. This pattern makes buying before earnings particularly risky.

Analyst Consensus & Price Targets

Metric	Value
Consensus Rating	Strong Buy (22 analysts)
Strong Buy	45%
Buy	36%
Hold	18%
Sell	0%
Avg 12-Month Target	\$281.45 (+135% upside)
Lowest Target	\$200 (+67%)
Highest Target	\$380 (+217%)

Notable Analyst Actions

- Texas Capital: Upgraded to Strong Buy
- Canaccord Genuity: Target \$270, Buy rating
- Bank of America: Target \$210, Neutral rating (reduced from \$250)

Bull Case Catalysts

- FanDuel commands 47% US market share - unmatched scale
- International diversification (UK, Italy, Australia) absent from DraftKings
- FanDuel Predict (prediction market) targeting half of America unable to bet on sports
- 21% international revenue growth YoY
- TIKR valuation model suggests intrinsic value of ~\$436 per share

Probability Assessment - Short-Term Trade

Scenario A - Meaningful Bounce (+5% to +15%): ~40% probability
Requires: Earnings beat AND reassuring 2026 guidance addressing tax concerns

Scenario B - Continued Decline (-5% to -15%): ~45% probability
Trigger: Weak forward guidance, even if backward-looking earnings beat

Scenario C - Dramatic Move (>15% either direction): ~15% probability
Trigger: Major surprise in either guidance or results

Arguments FOR Buying Today

1. RSI at 20 is historically extreme - mean reversion bounce is statistically likely
2. Stock hit 52-week low of \$114.93 on Monday and is bouncing - potential capitulation bottom
3. Analysts see 135%+ upside - objectively cheap if fundamentals hold
4. Revenue expected to grow 31% YoY - still a growth company
5. If guidance is positive, relief rally could be sharp given extreme oversold conditions

Arguments AGAINST Buying Today

1. Stock drops after earnings even when beating - 3 of last 4 quarters
2. Earnings after market close - cannot exit same day if it goes wrong
3. Tax headwinds (\$320M EBITDA hit from UK alone) are real and structural
4. MACD deeply bearish with no sign of reversal
5. Beta of 1.89 means aggressive swings in both directions
6. Pre-market gap risk tomorrow morning - after-hours sets the tone

Strategic Options

Option 1: Buy Before Earnings (Highest Risk / Highest Reward)

Maximum exposure to a potential positive surprise. Risk of holding through a gap-down if guidance disappoints. Given the historical pattern of post-earnings selloffs, this is the riskiest approach.

Option 2: Wait for After-Hours Reaction, Buy Pre-Market Tomorrow

Lets you see the initial market response to earnings and guidance. You may miss the fastest part of a rally, but this avoids the worst gap-down scenarios. Recommended for most traders.

Option 3: Wait for the Dust to Settle

Buy on Friday or early next week if the post-earnings reaction creates a clearer entry point. The stock may find support around \$105-\$115 (Bollinger lower band to recent 52-week low). Most conservative approach.

DISCLAIMER: This analysis is for informational purposes only and does not constitute financial advice. Past performance does not guarantee future results. Technical indicators are based on historical data and should not be the sole basis for investment decisions. Always do your own due diligence and consult a licensed financial advisor before making investment decisions.

Sources: Yahoo Finance, Benzinga, TIKR, MarketBeat, StockAnalysis, GlobeNewsWire, Simply Wall St
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